

Agenda Item 4-A.1 (Clean)

EXTRACT OF THE EXPOSURE DRAFT OF PROPOSED INTERNATIONAL STANDARD ON QUALITY MANAGEMENT 2 – ENGAGEMENT QUALITY REVIEWS

(MARKED FROM AGENDA ITEM 4-A POSTED FOR DECEMBER MEETING)

Objective

10. The objective of the firm is to perform an engagement quality review for the engagement.

Definitions

11. In this ISQM, the following terms have the meanings attributed below:
- (a) Engagement quality review – An objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon, performed by the engagement quality reviewer and completed on or before the date of the engagement report.
 - (b) Engagement quality reviewer – A partner, other individual in the firm, or an external individual appointed by the firm to perform the engagement quality review.

Appointment and Eligibility of Engagement Quality Reviewers

NOTE:

The application material for paragraphs 15-18 will need to be reorganized to align with this new proposed structure. Accordingly, except for new application material paragraph A6A, the remaining application material paragraph references have not been updated.

15. [Previously in para. 15 lead-in and 15(a)] The firm shall establish policies or procedures that address the assignment of responsibility for the appointment of engagement quality reviewers to an individual(s) with the competence, capabilities, and the appropriate authority within the firm. Those policies or procedures shall require such individual(s) to appoint the engagement quality reviewer. (Ref: Para. A2–A3)
- 15A. [Previously in para. 15(b) and (c)] The firm shall establish policies or procedures that address the criteria for eligibility to be appointed as an engagement quality reviewer and that include limitations on the eligibility of an individual to be appointed as engagement quality reviewer for an engagement on which the individual previously served as engagement partner. [Moved from para. 16] Those policies and procedures shall require that the engagement quality reviewer not be a member of the engagement team, and:
- (a) Have the competence and capabilities, including sufficient time, and the appropriate authority to perform the engagement quality review; (Ref: Para. A7–A13)

- (b) Comply with relevant ethical requirements, including that threats to objectivity of the engagement quality reviewer related to the engagement or the engagement team are eliminated or reduced to an acceptable level; and (Ref: Para. A14–A17)
 - (c) Comply with requirements of law and regulation, if any, that are relevant to the eligibility of the engagement quality reviewer. (Ref: Para. A18)
- 15B. [Previously part of para. 15(b)] The firm shall establish policies or procedures that address the criteria for eligibility of individuals to assist the engagement quality reviewer. [Moved from para. 17] Those policies and procedures shall require that such individuals not be members of the engagement team and:
- (a) Have the competence and capabilities, including sufficient time, to perform the duties assigned to them; and
 - (b) Comply with relevant ethical requirements and, if applicable, the requirements of law and regulation that are relevant to the eligibility of the engagement quality reviewer.
- 15C. [Moved from last sentence of para. A19] The firm shall establish policies or procedures that address the responsibility of the engagement quality reviewer for the performance of the engagement quality review, including that the work of individuals assisting in the review is appropriate.
- 15D. [Previously in para. 15(d)] The firm shall establish policies or procedures that address the identification of circumstances in which the engagement quality reviewer's ability to perform the engagement quality review is impaired and the appropriate actions to be taken by the firm, including the process for identifying and appointing a replacement in such circumstances. (Ref: Para. A6A)
16. [Moved to para. 15A]
17. [Moved to para. 15B]
18. When the engagement quality reviewer becomes aware of circumstances that impair the engagement quality reviewer's eligibility to be an engagement quality reviewer, the engagement quality reviewer shall notify the appropriate individual(s) in the firm, and: (Ref: Para. A21)
- (a) If the engagement quality review has not commenced, decline the appointment to perform the engagement quality review; or
 - (b) If the engagement quality review has commenced, discontinue the performance of the engagement quality review.
21. If engagement quality reviewer has concerns that the significant judgments made by the engagement team, or the conclusions it reached thereon, were not appropriate, the engagement quality reviewer shall notify the engagement partner and, if such concerns are not resolved to the engagement quality reviewer's satisfaction, appropriate individual(s) in the firm that the engagement quality review cannot be completed. (Ref: Para. A34A)
- 21A. The engagement quality reviewer shall determine that the engagement quality review is complete and notify the engagement partner that the engagement report can be dated.

Documentation

22. The firm shall establish policies or procedures that require the engagement quality reviewer to take responsibility for documentation of the engagement quality review that is sufficient to enable an experienced practitioner, having no previous connection with the engagement, to understand the nature, timing and extent of the procedures performed by the engagement quality reviewer and, when applicable, individuals who assisted the reviewer. (Ref: Para. A34B–A37)
23. The firm's policies or procedures shall require the documentation of the engagement quality review to be included with the engagement documentation.
24. The engagement quality reviewer shall determine that the documentation of the engagement quality review includes:
 - (a) The name of the engagement quality reviewer and individuals who assisted with the engagement quality review;
 - (b) An identification of the engagement documentation reviewed;
 - (c) Documentation of the procedures performed as required by paragraph 20;
 - (d) The engagement quality reviewer's evaluation in accordance with paragraphs 21 and 21A; and
 - (e) The date of completion of the engagement quality review.

Application and Other Explanatory Material

Engagement Quality Reviewer's Ability to Perform the Engagement Quality Review is Impaired (Ref: Para. 15D)

- A6A. Factors that may be relevant to the firm in considering whether the ability of the engagement quality reviewer to perform the engagement quality review is impaired include:
- Whether changes in the circumstances of the engagement result in the engagement quality reviewer no longer having the appropriate competence and capabilities to perform the review;
 - Whether changes in the other responsibilities of the engagement quality reviewer indicate that the individual no longer has sufficient time to perform the review; and
 - Notification from the engagement quality reviewer in accordance with paragraph 18.

The Engagement Quality Reviewer's Evaluation (Ref: Para. 21)

A34A. The firm's policies or procedures may specify the individual(s) in the firm, in addition to the engagement partner, to be notified if the engagement quality reviewer has unresolved concerns that the significant judgments made by the engagement team, or the conclusions it reached thereon, were not appropriate. Such individual(s) may include the individual assigned the responsibility for the appointment of engagement quality reviewers.

Documentation (Ref: Para. 22–24)

A34B. Paragraphs 67 and 68 of proposed ISQM 1 require the firm to prepare documentation of the firm's system of quality management. Engagement quality reviews performed in accordance with this proposed ISQM are one response, among others, to a firm's quality risks related to the performance of engagements, and are therefore subject to those documentation requirements.

A35. The form, content and extent of the documentation of the engagement quality review may depend on factors such as:

- The nature and complexity of the engagement;
- The nature of the entity;
- The nature and complexity of the matters subject to the engagement quality review; and
- The extent of the engagement documentation reviewed.

A36. The engagement quality review may be documented in a number of ways. For example, the engagement quality reviewer may document the review of engagement documentation electronically in the IT application for the performance of the engagement. Alternatively, the engagement quality reviewer may document the review through means of a memorandum. The engagement quality reviewer's procedures may also be documented as part of other engagement documentation, for example, minutes of the engagement team's discussions where the engagement quality reviewer was present.

A37. Although paragraph 19(b) requires that the firm's policies or procedures preclude the engagement partner from dating the engagement report until the completion of the engagement quality review, which includes resolving matters raised by the engagement quality reviewer, the documentation of the engagement quality review may be completed after the date of the engagement report.